

Olympiad Test Paper — Social Science (Class 7) — Paper 4

Chapter 12: Understanding Markets

Paper 4 — (progressively harder)

Subject	Social Science (NCERT Class 7)
Chapter	12 — Understanding Markets
Total Questions	60 (Multiple Choice, single correct)
Maximum Marks	240
Suggested Time	90 minutes

Marking scheme: +4 for each correct answer · -1 for each wrong answer · 0 if unattempted.

Instructions: Each question has four options (A), (B), (C), (D); exactly one is correct. A market is any buyer-seller-price arrangement (online and weekly haats count, not just shop buildings); the cheapest price is not 'best' because a price below the seller's cost makes supply dry up, so the just-right clearing price is what matters; more demand against limited supply pushes price UP while plentiful supply pushes it DOWN; intermediaries (wholesalers, distributors, retailers, aggregators) ADD real value by bulk-buying, transporting, storing and breaking bulk into small amounts; and the certification marks must be matched to the right domain - FSSAI for food safety, ISI/BIS for manufactured goods, AGMARK for graded farm produce, BEE Star for appliance energy use - while MRP is the maximum a consumer may be charged, not a minimum. Do not write on this paper — mark answers on your answer sheet.

1. A daily online food-delivery app, a weekly village haat, and a child giving an old toy to a younger sibling for nothing are placed side by side. Which grouping correctly sorts only the genuine markets?

- (A) all three are markets, since any movement of a good from one person to another is a market
- (B) only the haat is a market, because a market must be a physical gathering people attend in person
- (C) the app and the haat are markets because each has buyers, sellers and a price, but the free gift is not, because no price is paid
- (D) only the app is a market, because a market must run on the internet and use digital payment

2. A buyer abroad orders a handwoven scarf from a hill weaver through a website that shows the price, takes payment and arranges delivery. A skeptic says 'with no shop building and the two never meeting, this can't be a market.' The skeptic's error is best described as:

- (A) ignoring that an online sale cannot display a genuine price, so no real exchange occurred
- (B) forgetting that the market actually happened at the delivery courier's depot, not online
- (C) assuming a weaver in a remote village can never count as a real seller
- (D) treating a shop building and face-to-face contact as essential, when the real essentials are buyers, sellers and an agreed price

3. A stall has fresh fish and many eager buyers all afternoon, yet not one fish is sold because the seller rejects every offer as too low to cover her costs. Which single market ingredient is missing here?

- (A) buyers willing to take the good (B) goods available to be sold
- (C) an agreed price acceptable to both sides (D) a seller present at the stall

4. A cloth cart, a corner kirana, an enclosed mall and a shopping website all sell the same brand of soap in very different settings. Which statement best explains why all four are equally 'markets'?

- (A) each charges exactly the same price for the soap, which is the test of a true market
- (B) each is open every single day of the week, which every market must be
- (C) each, however grand or simple, brings buyers, sellers and a price together for an exchange, and that triad is what defines a market
- (D) each has a permanent roof and walls, the feature shared by all markets

5. A student argues that drinking water 'cannot be a market good because water is a basic need and needs are always free.' The clearest correction is:

- (A) water can never be sold under any condition because it falls from the sky
- (B) only wants such as toys are ever traded in markets, never needs
- (C) water is not a real good at all, so the question of buying it does not arise
- (D) needs are not always free - when water is bottled, treated and delivered, buyers pay sellers a price, so it is traded in a market like any other good

6. Which single situation is NOT a market in the chapter's sense, while the other three are?

- (A) two friends swapping equal sticker collections for fun with no money or price involved
- (B) a periodic rural haat where farmers sell vegetables at prices set by haggling
- (C) an online aggregator listing many restaurants' dishes at displayed prices
- (D) a city mall where many shops sell branded clothes at marked prices

7. A shopkeeper, hoping to attract crowds, prices her notebooks far below what each notebook costs her. After a week she runs out of money to restock and removes notebooks from her shelves. The deepest lesson is that a just-right price must:
- (A) always be the very lowest number the seller can print, whatever the cost
 - (B) be fixed by the buyer alone, since the seller's costs do not matter
 - (C) be high enough for the seller to cover costs and stay in business, or the supply of the good eventually dries up
 - (D) be as high as the seller can possibly demand, to earn the most per sale
8. A buyer offers 70 rupees for a basket the seller obtained for 90 rupees and is asking 130 rupees for. Which settlement is the only sensible 'just right' figure?
- (A) about 110 rupees, above the seller's 90-rupee cost yet below her 130-rupee asking price, so both gain
 - (B) exactly 70 rupees, because a buyer's first offer is always the fair price
 - (C) about 60 rupees, even lower than offered, so the buyer pays as little as possible
 - (D) exactly 130 rupees, the seller's full asking price, because the seller decides alone
9. At 8 rupees buyers want 400 units but sellers offer only 150; at 24 rupees sellers offer 400 but buyers want only 120; at 16 rupees buyers want 250 and sellers offer 250. The just-right market-clearing price is:
- (A) 16 rupees, where the quantity buyers want equals the quantity sellers offer
 - (B) 8 rupees, because the lowest price is always best for everyone
 - (C) 24 rupees, because the highest price earns the seller the most per unit
 - (D) no price works, since the two quantities never line up
10. Assertion: A seller pricing a good far above the level where demand meets supply will usually sell very little. Reason: An overpriced good drives buyers toward sellers offering the just-right price. Evaluate:
- (A) the assertion is true but the reason is unrelated to it
 - (B) both the assertion and the reason are true, and the reason correctly explains the assertion
 - (C) the assertion is false, because a higher price always brings higher sales
 - (D) both are false, because price has no effect on how much buyers buy
11. A trader plans to set umbrella prices highest in the dry season 'to earn more per umbrella.' Why is this poor reasoning about the just-right price?
- (A) in the dry season few people want umbrellas, so a high price leaves most unsold - the price must match what buyers are actually willing to pay
 - (B) umbrellas may be sold only in the rainy season by law, so dry-season selling is banned
 - (C) the highest price per item always produces the highest total earnings
 - (D) the government fixes a separate umbrella price for every season

12. Why does a seller usually refuse to keep selling at a price the buyer calls 'wonderfully cheap'?

- (A) sellers dislike seeing buyers happy and so reject low prices
- (B) the law forbids selling any good below a fixed cheap price
- (C) if that price fails to cover the seller's costs, continuing means a loss, so the seller would rather stop than keep losing money
- (D) a cheap good is always of poor quality, so the seller is ashamed to sell it

13. Two sellers face the same buyers for the same rice. Seller A prices it where demand meets supply; Seller B prices it well above that point. Trace the most likely outcome over time:

- (A) Seller B earns the most, because a higher price always means more total profit
- (B) Seller B sells exactly as much as Seller A, since buyers split evenly between them
- (C) buyers force Seller B to drop the price below his costs and keep selling at a loss
- (D) buyers shift to Seller A's fair price, so Seller B sells little or nothing despite the higher price per bag

14. A festival suddenly makes everyone want marigold garlands, but the number of garlands made that day stays exactly the same. Then, the next morning, the festival ends and few people want garlands while the same number remain unsold. The price most likely:

- (A) rises on the festival day as many buyers chase a fixed supply, then falls the next day as demand drops while supply stays put
- (B) falls on the festival day because more buyers always means cheaper goods, then rises the next day
- (C) stays exactly the same on both days, because the number of garlands never changed
- (D) drops to zero on the festival day because demand is so high the garlands are given away free

15. In a hot summer both ice-cream sellers and ice-cream buyers increase, but buyers increase far more than the extra ice cream available. The most accurate prediction for the price is:

- (A) it falls, because there are now more sellers offering ice cream
- (B) it stays the same, because both demand and supply grew together
- (C) it rises, because demand has outgrown supply even though both sides grew
- (D) it drops to zero, because any rise in supply removes all upward pressure

16. A drought sharply cuts the wheat harvest while households still need just as much wheat. Then the government releases large stocks of stored wheat into the market.

Compared with the drought-only stage, the price will tend to:

- (A) first fall because a drought is a daily need, then fall further when stocks are released
- (B) stay locked at one level throughout, because the government alone fixes wheat prices

- (C) first climb as the drought shrinks supply against steady demand, then ease back once the released stocks add to supply
- (D) rise both times, because releasing more stored wheat raises the price even higher

17. Which combination would push a good's price UP the most?

- (A) demand falls while supply rises at the same time
- (B) demand and supply both stay completely unchanged
- (C) demand jumps sharply at the same time that supply falls
- (D) supply rises sharply while demand stays steady

18. A new phone is launched; huge crowds want it but only a few are made each day, so the seller charges a high price. Which single later change would most help bring the price DOWN toward a just-right level?

- (A) advertising the phone even more so still more people want it
- (B) increasing how many phones are made so supply better matches the strong demand
- (C) making even fewer phones each day to keep them exclusive
- (D) raising the price further so that demand falls away on its own

19. Heavy rains destroy much of the onion crop, yet households need onions just as much as before. Which prediction is most accurate and why?

- (A) the onion price falls, because onions are a daily need and needs grow cheaper when scarce
- (B) the onion price climbs, because a shrunken supply meets unchanged demand and creates scarcity
- (C) the onion price does not change, because the prices of basic needs never move
- (D) onions are given away free until the shortage ends, because demand is so strong

20. Trace the chain: a bumper tomato harvest floods the market while the number of buyers stays the same. Supply _____, and because demand is steady, sellers _____, so the price _____.

- (A) rises ... compete to sell their extra stock ... falls
- (B) rises ... raise prices because there is more to sell ... rises
- (C) falls ... cut output further ... stays the same
- (D) stays the same ... do nothing ... rises on its own

21. Which scenario shows a good whose price would tend to FALL?

- (A) a sudden festival makes far more people want sweets while the bakeries cannot make extra
- (B) a region's mango orchards all ripen at once, flooding the market while the number of buyers stays the same
- (C) a factory fire halts phone production just as a new model becomes hugely popular
- (D) a vaccine is scarce during an outbreak while everyone wants to be protected

22. Order these market types from the SMALLEST typical quantity sold per sale to the LARGEST:

- (A) wholesale market, then neighbourhood retail shop, then a single household buyer
- (B) neighbourhood retail shop, then wholesale market, then producer's factory output
- (C) producer's factory output, then retail shop, then wholesale market
- (D) they all sell exactly the same quantity per sale, so no order applies

23. You crave a single packet of biscuits at 10 p.m. Which market type best suits this need, and why?

- (A) a wholesale market, because it sells single packets at the cheapest price
- (B) a neighbourhood retail shop, because it sells small quantities conveniently and close to home
- (C) a weekly haat, because it is open at every hour of every day
- (D) an export house, because it specialises in delivering single snacks to homes

24. A wholesale cloth market and a retail clothing shop sell the same fabric, yet the wholesale price per metre is lower. The best explanation is that:

- (A) the wholesaler sells huge quantities at once with lower handling per metre, while the retailer adds the costs of small-quantity, convenient service
- (B) the wholesale cloth is always of worse quality, which is why it costs less
- (C) the retailer is secretly the producer and so charges a higher price
- (D) the government orders wholesalers to charge less than retailers

25. An app lists offers from hundreds of different sellers so a buyer can compare them in one place, but the app neither makes nor owns the goods. The app is acting as:

- (A) a producer that manufactures all the listed goods itself
- (B) a wholesaler that buys the goods in bulk to own and resell
- (C) a final consumer that uses up the goods it lists
- (D) an aggregator that gathers many sellers' offers together

26. A periodic rural market sets up only on certain weekdays, then packs up and disperses. Which description fits it, and which clearly does NOT?

- (A) it is a haat, a temporary market on fixed days; it is NOT a mall, which is a permanent enclosed complex
- (B) it is a mall, a permanent complex; it is NOT a haat, which runs all day every day
- (C) it is an online aggregator, available any time; it is NOT a physical gathering
- (D) it is a wholesale depot, open round the clock; it is NOT a periodic gathering

27. Which arrangement is the odd one out because it is a PERMANENT market while the others are periodic or one-off?

- (A) a city bazaar of many shops lined along streets that trade every day of the year
- (B) a weekly haat that gathers each Tuesday and disperses by evening

- (C) a special fair held once a year during a harvest festival
- (D) a mobile vegetable cart that visits a colony only on alternate mornings

28. An app connects a buyer in one state with a small artisan in another, handling the listing and the payment. Which benefit of markets does this best illustrate?

- (A) markets work only when the buyer and seller live in the same village
- (B) markets remove the need for any price to change hands
- (C) markets stop small producers from ever reaching distant buyers
- (D) markets link far-apart producers and consumers, widening the reach of small producers who would otherwise never meet such buyers

29. Put the supply chain for a packet of biscuits in the correct order from maker to final user:

- (A) producer, then wholesaler, then retailer, then consumer
- (B) consumer, then retailer, then wholesaler, then producer
- (C) retailer, then producer, then consumer, then wholesaler
- (D) wholesaler, then consumer, then producer, then retailer

30. A factory sells a shirt to a wholesaler for 240 rupees; the wholesaler sells it to a retailer for 300 rupees; the retailer sells it to you for 380 rupees. The 140-rupee total rise from factory to you mostly reflects:

- (A) pure cheating, since the shirt should cost the same 240 rupees everywhere
- (B) a single government tax charged once on the shirt
- (C) the retailer secretly being the same person as the factory producer
- (D) the costs and value added by transport, storage, breaking bulk and each trader's fair margin along the chain

31. In the chain producer, wholesaler, distributor, retailer, consumer, which two links describe (i) the one who finally USES the good and (ii) the one who mainly MOVES goods across distance to scattered retailers?

- (A) the wholesaler uses the good, and the retailer moves goods across distance to factories
- (B) the producer uses the good, and the consumer moves goods across distance to shops
- (C) the retailer uses the good, and the producer moves goods across distance to homes
- (D) the consumer uses the good, and the distributor moves goods across distance to retailers

32. A new bakery makes bread and sells single loaves straight from its own counter to neighbours, with no other traders involved. In this short chain the bakery acts as BOTH:

- (A) wholesaler and consumer, because it buys bread in bulk and eats it
- (B) distributor and exporter, because it ships bread abroad in large lots

- (C) only a consumer, because the one thing it buys is the flour
- (D) producer and retailer, because it makes the bread and also sells small amounts directly to final users

33. A farmer harvests 800 kg of potatoes at once, but an ordinary family wants only 3 kg. Which intermediary's role most directly solves this quantity mismatch, and how?

- (A) the producer, by simply growing even more potatoes next season
- (B) the exporter, by sending the whole 800 kg to a buyer in another country
- (C) the retailer, by breaking the large bulk into the small amounts a household actually buys
- (D) the consumer, by being required to buy all 800 kg to get any potatoes

34. Why can a city family pay a fair, steady price for rice grown hundreds of kilometres away?

- (A) the city family personally travels to the farm and harvests the rice each season
- (B) an organised supply chain transports, stores and distributes the rice so it reaches the city in usable amounts at a workable price
- (C) rice simply appears in cities with no transport or traders involved
- (D) the government grows all of the country's rice inside every city

35. Surat weaves enormous quantities of cloth that ends up as a single shirt in a small-town shop far away. Which best explains this journey?

- (A) every buyer must travel to Surat to purchase the cloth directly from the looms
- (B) the cloth teleports instantly to each town with no traders involved at all
- (C) a supply chain of wholesalers, distributors and retailers carries the cloth across the distance and breaks it into saleable amounts
- (D) the government personally delivers the cloth to every town's shop

36. A mango travels from an orchard to a city plate through several different traders. Which single statement best explains WHY several traders are involved rather than just one?

- (A) the law requires every mango to pass through exactly four owners before sale
- (B) each trader is useless and exists only to inflate the price for no benefit
- (C) each trader performs a useful step - bulk buying, transport, storage and splitting into small amounts - moving the mango closer to the final buyer
- (D) the orchard owner personally hand-delivers each mango to every city buyer

37. A consumer grumbles, 'middlemen just make my soap costlier for no reason.' The best-grounded reply is:

- (A) middlemen do nothing useful and only inflate the price
- (B) middlemen add real value - bulk buying, transport, storage and selling nearby in small amounts - so the higher price buys genuine convenience

- (C) middlemen are the producers, so they deserve the extra money
- (D) middlemen sell the soap below the factory cost, so there is no rise to explain

38. Which example most clearly shows an intermediary **ADDING** value rather than merely raising the price?

- (A) a wholesaler cold-stores a year's mangoes so they can be sold long after the short harvest season
- (B) a trader buys and resells the same crate within the hour without moving or storing it
- (C) a shop charges more but offers the buyer nothing extra at all
- (D) a seller hides the price until after the sale is already complete

39. If **ALL** wholesalers and retailers vanished overnight, what would most likely happen to an ordinary buyer wanting a single bar of soap?

- (A) goods would magically become free for everyone
- (B) buyers would get goods faster and cheaper with no extra effort at all
- (C) producers would happily hand-deliver single free bars to every household
- (D) the buyer would have to deal with producers directly and likely buy in bulk, which is costly and inconvenient for a small everyday need

40. Why might a supply chain sometimes be **SHORTENED**, as when a farmer sells directly to consumers at a weekend market?

- (A) short chains are illegal and are always banned by the government
- (B) cutting out some intermediaries can lower the final price and give the farmer a larger share, when the farmer can manage the selling steps
- (C) removing intermediaries makes the goods become entirely free
- (D) a shorter chain automatically means the goods are of lower quality

41. A distributor and a retailer both stand between the producer and the buyer. Their roles differ in that the distributor mainly _____, while the retailer mainly _____.

- (A) uses up the goods as the final user ... manufactures the goods in a factory
- (B) sells single items to homes ... ships goods abroad in bulk
- (C) prints the MRP on packs ... sets the country's tax rates
- (D) moves goods across distance to many scattered shops ... sells small quantities to final buyers

42. Why does a retailer's price for one apple usually exceed the wholesale price the retailer paid for the same apple?

- (A) the retailer adds the cost of breaking bulk, storing, displaying and selling conveniently in small amounts, plus a fair margin
- (B) retailers are required by law to exactly double every wholesale price
- (C) the apple changes into a different, costlier fruit at the retail stage
- (D) wholesale prices are fake figures that the retailer never actually pays

- 43.** A trader buys baskets from a village in bulk, carries them to a distant city, stores them and sells them one at a time. Which statement about this trader is correct?
- (A) the trader adds no value and only cheats city buyers with a higher price
 - (B) the trader adds value by transporting, storing and breaking bulk, so the higher city price reflects real services
 - (C) the trader is the producer of the baskets, so the price rise is the maker's profit
 - (D) the trader must sell at the village price by law, with no rise allowed
- 44.** The government gives a subsidy on cooking-gas cylinders. Trace the intended effect on the price a household pays:
- (A) the subsidy raises the price as high as possible to earn the government a profit
 - (B) the subsidy is a tax added at the till, increasing the amount charged
 - (C) the subsidy lowers the price consumers pay, making the cylinders more affordable
 - (D) the subsidy bans the sale of cylinders altogether
- 45.** Which is the clearest example of a public good?
- (A) a chocolate bar that one child buys and eats alone
 - (B) a single shirt sold and worn by one buyer
 - (C) a privately owned bicycle ridden only by its owner
 - (D) a street light that everyone passing can use, and which one person's use does not use up for others
- 46.** Why does the government set quality standards and certification marks for goods sold in markets?
- (A) to make every product as expensive as it can possibly be
 - (B) to protect consumers by assuring safety and quality they cannot easily judge on their own
 - (C) to stop all private trade across the country
 - (D) to ensure that only the richest buyers are able to shop
- 47.** Which government action is intended to PROTECT society and the environment from the harmful side of markets and factories?
- (A) curbing pollution produced by factories and markets
 - (B) helping factories pollute more so they can produce goods cheaply
 - (C) banning all manufacturing across the country
 - (D) raising the price of pollution so the government earns a profit from it
- 48.** A market square becomes a place where people from many communities meet, talk and share festivals, not merely trade. The Ima Keithal of Imphal, famously run by women, is a real example. Together these best show that markets:
- (A) can serve as social and cultural meeting points, beyond their economic role of buying and selling
 - (B) must keep all communities strictly apart from one another

(C) exist only to collect taxes for the government

(D) are always run entirely by the government and never by ordinary people

49. A shopkeeper tries to charge 6 rupees ABOVE the MRP printed on a juice pack 'because it is summer and demand is high.' This is:

(A) perfectly fine, because high demand lets a shop ignore the printed MRP

(B) not allowed, since the MRP is the maximum price, taxes included, that a consumer may be charged

(C) required by law every summer when demand rises

(D) exactly the same thing as offering a government subsidy

50. A wholesaler claims he may sell below the MRP to clear stock, while a retailer next door insists he must sell exactly at MRP. Who is right about what MRP means?

(A) the retailer is right, because MRP is the fixed price every seller must charge exactly

(B) the wholesaler is closer to right that selling below MRP is allowed, because MRP is only the maximum a consumer may be charged, not a minimum

(C) both are right, because MRP is both a maximum and a minimum at once

(D) neither is right, because MRP is the price only the government may charge

51. Before buying a packaged snack online, a careful consumer should rely MOST on:

(A) only the brightness and noise of the advertisement

(B) recognised certification marks, the label details, and genuine reviews from other buyers

(C) only the lowest price shown on the page

(D) only the seller's own promise that the snack is good

52. Two identical-looking snacks sit side by side: one carries the FSSAI mark, the other has no certification at all. A quality-aware consumer should reason that:

(A) the uncertified one must be cheaper and is therefore the better choice

(B) certification marks tell a buyer nothing at all about safety

(C) the FSSAI mark refers to the snack's energy efficiency, not its safety

(D) the FSSAI mark signals the food has met safety standards, so it is the more trustworthy choice

53. A consumer wants assurance about (i) a refrigerator's electricity use, (ii) a packaged food's safety, and (iii) the grading quality of loose farm grain. Which marks match these, in that order?

(A) FSSAI for the appliance, AGMARK for the food, and ISI for the farm grain

(B) AGMARK for the appliance, BEE Star for the food, and FSSAI for the farm grain

(C) BEE Star for the appliance's energy use, FSSAI for the food's safety, and AGMARK for the graded farm produce

(D) ISI for the appliance, FSSAI for the food, and BEE Star for the farm grain

- 54.** A shopper picks up a packaged biscuit, an electric iron, and a sack of graded wheat. Which mark should reassure her about each, respectively?
- (A) AGMARK on the biscuit, FSSAI on the iron, and ISI/BIS on the wheat
 - (B) ISI/BIS on the biscuit, AGMARK on the iron, and FSSAI on the wheat
 - (C) BEE Star on the biscuit, AGMARK on the iron, and ISI/BIS on the wheat
 - (D) FSSAI on the biscuit, ISI/BIS on the iron, and AGMARK on the wheat
- 55.** Which statement about certification marks is the odd one out because it is FALSE?
- (A) the FSSAI mark tells a buyer a food product has met safety standards
 - (B) the ISI/BIS mark assures the quality of manufactured goods meeting Indian standards
 - (C) the BEE Star label tells a buyer about an appliance's energy efficiency
 - (D) the AGMARK mark mainly tells a buyer how energy-efficient an electrical appliance is
- 56.** An export and an import are confused in a quiz. Which single statement is correct?
- (A) India selling tea to another country is an import, while buying crude oil is an export
 - (B) both selling tea abroad and buying oil from abroad are exports
 - (C) India selling tea to another country is an export, while India buying crude oil from another country is an import
 - (D) both selling tea abroad and buying oil from abroad are domestic sales
- 57.** Which sequence correctly orders these by the typical SIZE of the trading area, from the most local to the most international?
- (A) trade across countries, then a national domestic market, then a neighbourhood haat
 - (B) a neighbourhood haat, then a national domestic market, then trade through exports and imports across countries
 - (C) a national domestic market, then a neighbourhood haat, then trade across countries
 - (D) they all cover exactly the same area, so no ordering is possible
- 58.** A student concludes: 'The seller with the rock-bottom price is always the smartest buy, and a website with no shop building isn't really a market.' The single best correction is:
- (A) the cheapest seller is always best, and websites are never markets
 - (B) only physical shops are markets, and the price never matters at all
 - (C) a market needs no buyers, no sellers and no price to exist
 - (D) a price too low can push the seller out of business, so the cheapest is not always best, and any arrangement with buyers, sellers and a price - online or physical - is a real market
- 59.** If every buyer in a market insisted on only ever buying from the seller asking the very lowest amount, the most likely long-run result is:

- (A) sellers unable to cover their costs would leave the market, leaving fewer goods available than before
- (B) goods would become endlessly cheaper with no downside whatsoever
- (C) sellers would happily keep selling at a permanent loss forever
- (D) the government would force every seller to stay open below cost

60. A wheat farmer also needs cloth, tools and salt, none of which she grows or makes herself. Which statement best explains why markets exist at all?

- (A) the government orders every citizen to buy a fixed list of goods each year
- (B) people are forbidden from ever making anything for themselves at home
- (C) no single person can produce everything they need and want, so people trade what they have for what others make
- (D) markets exist only so the state can collect taxes from every sale

Solutions — Social Science (Class 7), Chapter 12: Understanding Markets — Paper 4

Paper 4 — (progressively harder)

Marking: +4 correct, –1 wrong, 0 unattempted. Maximum marks **240**.

Answer Key

Q	Ans	Q	Ans	Q	Ans	Q	Ans	Q	Ans	Q	Ans
1	C	11	A	21	B	31	D	41	D	51	B
2	D	12	C	22	B	32	D	42	A	52	D
3	C	13	D	23	B	33	C	43	B	53	C
4	C	14	A	24	A	34	B	44	C	54	D
5	D	15	C	25	D	35	C	45	D	55	D
6	A	16	C	26	A	36	C	46	B	56	C
7	C	17	C	27	A	37	B	47	A	57	B
8	A	18	B	28	D	38	A	48	A	58	D
9	A	19	B	29	A	39	D	49	B	59	A
10	B	20	A	30	D	40	B	50	B	60	C

Answer-key distribution: A = 15, B = 15, C = 15, D = 15.

Worked Solutions

1. (C) A market needs buyers, sellers AND an agreed price; the app and the haat have all three, while the free gift has no price, so it is not a market. Not every transfer of a good is a market - the price element is essential, which rules out the free gift. A market need not be a physical gathering (the app counts) nor must it be online (the haat counts), so the two single-option answers are too narrow.

2. (D) What makes something a market is the meeting of buyers, sellers and an agreed price; the building and physical contact are incidental, so the skeptic is wrong to treat them as essential. The website plainly does show a real price the buyer pays, so denying that is false. The market is the exchange itself, not wherever the parcel is handled, so locating it at the depot is mistaken. And a remote weaver who sells goods for a price is a genuine seller.

3. (C) Buyers, a seller and goods are all clearly present; what never appears is a price both sides accept, so the missing ingredient is the agreed price. Eager buyers are present, so

buyers are not missing. The fish are present, so goods are not missing. The seller is at the stall the whole afternoon, so the seller is not missing. Without a mutually acceptable price, no exchange completes and the market fails.

4. (C) The defining, shared feature is the buyer-seller-price exchange, which all four have despite their different settings, so grandeur is irrelevant. Prices commonly differ between a cart and a mall, so identical pricing is not the test. A haat-style cart need not open daily, so 'open every day' is false. The cart and website lack a roof and walls, so a permanent building is not a shared requirement.

5. (D) Needs are not automatically free; bottled or supplied water is bought and sold at a price, so it is a market good. The claim that water can never be sold ignores the everyday sale of treated water. Markets sell both needs and wants, not wants alone. And water is certainly a real, purchasable good. The presence of buyers, sellers and a price makes water trading a market like any other.

6. (A) A market requires buyers, sellers and a price; the friendly sticker swap has no price, so it is not a market. The haat has sellers, buyers and bargained prices, so it qualifies. The aggregator displays many sellers' priced offers, so it qualifies. The mall has many priced shops, so it qualifies. The odd one out is the free, price-less swap.

7. (C) Pricing below cost wiped out her means to restock, so supply vanished - showing the just-right price must let the seller cover costs and continue. The lowest possible number is therefore not 'best'; it can drive the seller out. The price is reached by both sides, not the buyer alone, so the seller's costs do matter. And an excessively high price would scare buyers off, so 'as high as possible' is also wrong.

8. (A) A workable price must rise above the seller's 90-rupee cost (or she loses money and stops) yet stay below the 130 she asked (or the buyer walks away); about 110 fits, leaving both better off. The buyer's first low offer is below cost, so it is not automatically fair. A figure of 60 is even further below cost and would end the sale. And the seller does not set the price alone - negotiation involves both sides, so 130 is not automatic.

9. (A) The market clears where demand equals supply - here $250 = 250$ at 16 rupees. At 8 rupees buyers want far more than sellers will provide (a shortage), and at 24 rupees sellers offer far more than buyers will take (a surplus). The numbers do meet exactly at 16 rupees, so a working price plainly exists; neither the lowest nor the highest price balances both sides.

10. (B) Overpricing pushes buyers to the cheaper, fairly priced seller, so the overpriced seller sells little - the assertion is true and the reason explains exactly why. The reason is directly related, not unrelated. A higher price does not always raise sales; buyers walk away from overpriced goods, so that option is false. And price clearly affects how much buyers buy, so the 'no effect' option is also false.

- 11. (A)** Low dry-season demand means a high price scares off the few buyers, so most umbrellas stay unsold and earnings drop; the price must reflect buyers' willingness. There is no law restricting umbrella sales to one season. 'Highest price means highest earnings' ignores that buyers refuse overpriced goods. And the government does not set seasonal umbrella prices - the just-right price emerges from demand and supply.
- 12. (C)** A price the buyer loves may sit below the seller's costs; selling at a loss is unsustainable, so the seller stops - this is why the cheapest price is not 'best' for keeping goods available. Sellers do not refuse out of dislike for happy buyers. There is no general law banning low prices. And a low price does not automatically mean poor quality; the real issue is whether the seller can cover costs.
- 13. (D)** An overpriced good drives buyers to the fairly priced seller, so Seller B sells little. A higher price does not guarantee more profit if buyers refuse to buy. Buyers do not split evenly when one price is clearly better - they favour Seller A. And buyers cannot force a below-cost price; the seller would simply stop, so Seller B is not made to sell at a loss forever.
- 14. (A)** On the festival day, surging demand against a fixed supply pushes the price up; the next day, demand collapses while supply is unchanged, so the price falls - tracing both moves correctly. 'More buyers means cheaper' is backwards. Although supply never changed, demand did on both days, so the price does not stay fixed. And high demand never makes goods free; it makes them costlier, the opposite of zero.
- 15. (C)** Both sides grew, but demand grew much more, so buyers compete for relatively scarce ice cream and the price rises. More sellers alone would push price down, but the much larger surge in buyers outweighs that. Because the two sides did not grow equally, the price does not stay the same. And a modest rise in supply does not send the price to zero when demand has jumped far more.
- 16. (C)** A drought cuts supply against steady demand, so the price climbs; releasing stored stocks then increases supply and eases the price back - the correct two-step chain. A drought does not lower the price of a need; scarcity raises it. The price is not government-locked; it responds to the demand-supply balance. And adding supply lowers, not raises, the price, so a second rise is wrong.
- 17. (C)** Rising demand combined with falling supply squeezes the good from both directions, maximising the upward pressure on price. Falling demand with rising supply does the opposite, pushing price down. Unchanged demand and supply give the price no reason to move. Rising supply against steady demand lowers price. Only the demand-up, supply-down case drives price up the most.
- 18. (B)** The high price comes from heavy demand chasing a tiny supply; raising supply to match demand eases the scarcity and lowers the price toward balance. More advertising

raises demand and pushes price up further. Making fewer phones deepens the shortage and raises price. Raising the price does not fix the underlying scarcity at its source - more supply does.

19. (B) Reduced supply meeting steady demand creates scarcity, which pushes the onion price up. Being a daily need does not make scarce onions cheaper; steady need keeps demand firm while supply falls. The prices of needs do move - people pay more for onions in a shortage. And a shortage raises, rather than removes, the price, so free distribution by sellers is wrong.

20. (A) A bumper harvest increases supply; with demand unchanged, sellers must compete to clear the extra stock, so the price falls - the correct cause-and-effect chain. More supply does not let sellers raise prices; that confuses supply with demand. Supply rose, not fell, so the second chain is wrong from the start. And supply did change (it rose), so 'stays the same' is incorrect.

21. (B) A flood of mangoes against steady demand is rising supply with unchanged demand, which pushes price down. The festival sweets case is rising demand against fixed supply, pushing price up. The phone case is falling supply against surging demand, a strong upward push. The scarce vaccine in an outbreak is low supply against high demand, again raising price. Only the mango glut lowers the price.

22. (B) A retail shop sells the smallest amounts (a packet or two), a wholesale market sells larger bulk lots, and a producer's factory turns out the largest volumes, so smallest-to-largest is retail, wholesale, producer. Putting wholesale before retail reverses two steps. Putting the producer first as the smallest is backwards. And the stages plainly sell different quantities - that difference is why the chain exists.

23. (B) A nearby retail shop is built for small, convenient purchases close to home, perfect for one packet at night. A wholesale market deals in bulk, not single packets, and is not designed for one late-night buyer. A haat opens only on certain days, not every hour, so it cannot serve a late-night craving. And an export house ships goods abroad, not single snacks to your door.

24. (A) Bulk selling spreads costs over many metres, so the wholesale per-metre price is lower; the retailer adds the cost and convenience of breaking bulk into small amounts, raising the per-metre price. The lower wholesale price is the same cloth in larger lots, not worse quality. The retailer is a separate link, not the producer. And the price gap arises from bulk versus small-quantity service, not a government order.

25. (D) Combining many sellers' offers in one place for buyers to compare is the job of an aggregator. The app does not make the goods, so it is not the producer. It does not buy and own the goods in bulk, so it is not a wholesaler - it merely lists others' offers. And it does not use up the goods, so it is not the consumer. Aggregation is the right role.

26. (A) A market that appears on fixed days and then disperses is a haat; a mall is permanent and enclosed, so the market described is not a mall - the correct pairing. A haat does not run all day every day, so the first distractor is wrong. The described market is a physical periodic gathering, not an always-available app. And a round-the-clock wholesale depot is the opposite of a periodic gathering.

27. (A) A bazaar of shops trading every day is a permanent market, so it is the odd one out among periodic and one-off arrangements. A weekly haat appears only on fixed days, so it is periodic. A once-a-year fair is a one-off seasonal market. And an alternate-morning cart visits only intermittently, so it too is not permanent. Only the daily bazaar is permanent.

28. (D) The app lets a small artisan reach a buyer in another state, showing markets connect distant parties and widen a small producer's reach. Markets are not limited to one village - this very example crosses states. A price is still paid through the app, so a price is not removed. And far from stopping small producers, such markets help them sell to many more buyers.

29. (A) Biscuits are first made by the producer, sold in bulk to a wholesaler, passed to a retailer, and finally bought by the consumer - producer, wholesaler, retailer, consumer. The other orders scramble the roles: the consumer cannot come first because nothing has been made yet, and the producer cannot come after the retailer or wholesaler because the goods must exist before they can be traded onward.

30. (D) Each step adds real services - moving, storing, breaking bulk - plus a fair margin, so the price builds from 240 to 380 along the chain. It is not pure cheating; the buyer gains a shirt conveniently nearby in single units. The rise is not one government tax. And the retailer is a separate link from the producer, each adding value, which is why the price grows step by step.

31. (D) The consumer is the final user, and the distributor carries goods from manufacturers and wholesalers out to scattered retailers - the correct pairing. The wholesaler resells in bulk rather than using the good, and the retailer sells to consumers rather than moving goods to factories. The producer makes the good and the consumer uses it, so neither moves goods to shops. And the retailer sells small amounts rather than using the good.

32. (D) The bakery makes the bread (producer) and sells single loaves to neighbours (retailer), filling both roles in one short chain. It does not buy bread in bulk or eat it, so it is not wholesaler-consumer. It does not ship bread abroad, so it is not distributor-exporter. And buying flour to bake does not make it 'only a consumer' - its defining roles toward buyers are producer and retailer.

33. (C) The retailer breaks the farmer's 800 kg into 3 kg lots a household can buy, so bulk-breaking is exactly the solution to the mismatch. The producer growing more does

not fix the quantity gap. The exporter just moves potatoes abroad, not into small home-sized lots. And forcing the consumer to buy all 800 kg is the problem itself, not a fix - bulk-breaking by the retailer bridges large supply and small need.

34. (B) A chain of transporters, storers and distributors carries distant rice into the city in saleable amounts at a workable price - that is how distance is bridged affordably. The city family does not harvest the rice. Rice does not appear without transport and traders; moving it is real work. And the government does not grow all rice inside cities. The organised supply chain is the answer.

35. (C) The cloth reaches a distant shirt through a chain of wholesalers, distributors and retailers who transport it and split it into usable amounts. Buyers do not all travel to Surat - the chain saves them that. Goods do not move without traders; intermediaries do the work. And the government does not personally deliver each town's cloth. The distance-bridging supply chain is the correct explanation.

36. (C) The chain exists because each trader adds a real service - bulk buying, transport, storage and bulk-breaking - so the mango reaches the city buyer in usable form. There is no law fixing the number of owners. The traders are not useless; remove them and a city buyer could not easily get a single mango from a distant orchard. And it is impractical for the orchard owner to deliver to every city buyer, which is precisely why the chain of traders exists.

37. (B) Middlemen perform real services - moving, storing and breaking bulk so soap is available near you as a single bar - and the price reflects that value, not waste. Saying they 'do nothing' is the trap the reply refutes. Middlemen are separate links, not the producers. And they add to the factory cost because they add value, so the claim that they sell below cost is false.

38. (A) Cold-storing mangoes so they are available beyond the brief harvest is a clear value-adding service - the buyer gains access out of season. A trader who neither moves nor stores the crate adds little. A shop charging more for nothing extra adds no value. And hiding the price is unfair conduct, not value-adding. Genuine intermediation involves real services like storage that benefit buyers.

39. (D) Without intermediaries, a buyer wanting one bar would have to approach producers directly and probably buy in bulk - expensive and impractical for daily needs, which is exactly why the chain exists. Goods would not become free; someone still makes and moves them. Removing the convenient links makes buying harder, not easier. And producers cannot realistically hand-deliver single free bars to every home.

40. (B) When a farmer can handle selling directly, skipping some intermediaries trims the added margins, often lowering the price and raising the farmer's share. Short chains are not illegal - direct farm markets are common. Removing intermediaries does not make

goods free; the farmer still charges a price. And chain length is unrelated to quality. Intermediaries add value but also cost, so sometimes a shorter chain benefits both ends.

41. (D) The distributor carries goods across distance to scattered retailers, and the retailer sells small amounts to final buyers - complementary links. Neither uses up nor makes the goods (those are the consumer and producer). The roles are not reversed - the distributor is not the one selling single items to homes. And printing MRP or setting taxes are not their defining jobs. Distance-moving versus small-quantity selling is the correct contrast.

42. (A) A retailer turns a bulk lot into single apples a buyer can grab nearby, adding storage, display and a margin, so the retail price tops the wholesale price. No law forces a doubling of prices. The apple does not change into another fruit. And wholesale prices are real prices the retailer actually pays. The mark-up reflects genuine value added in moving from bulk to a single convenient unit.

43. (B) Transporting, storing and breaking bulk are real services, so the higher city price reflects value the trader adds, not cheating. The trader is an intermediary, not the basket-maker, so it is not the producer's profit. There is no law forcing the village price in a distant city; the rise pays for moving and splitting the goods. The trader's role is genuine intermediation.

44. (C) A subsidy is government money used to lower a price or support producers, so a gas-cylinder subsidy makes cylinders cheaper for households. It does not raise the price - that is the opposite of its purpose. It is not a tax; a tax adds to the price while a subsidy reduces it. And it does not ban sales; it encourages affordable access. The intended effect is a lower, more affordable price.

45. (D) A street light is open to everyone and one user does not exhaust it for the next - the hallmarks of a public good, usually provided by the government. A chocolate bar eaten by one child is used up and private. A single shirt worn by one buyer is a private good. And a privately owned bicycle serves only its owner. The shared, non-using-up street light is the public good.

46. (B) Standards and marks protect buyers by certifying safety and quality an ordinary consumer cannot test alone - that is their purpose. They are not meant to maximise prices. They do not aim to halt private trade; markets continue more safely. And they are not designed to exclude poorer buyers. Consumer protection through verified quality is the government's goal.

47. (A) Curbing pollution from factories and markets protects society and the environment - a recognised government role. Helping factories pollute more would harm, not protect, society. Banning all manufacturing is not the aim; markets continue, just more responsibly. And the government does not run pollution for profit. Reducing pollution is the protective action.

48. (A) A bustling square and the women-run Ima Keithal show markets can be social and cultural centres, beyond mere trade. Markets mix communities rather than keeping them apart. They are not just tax-collection points. And many markets, like the Ima Keithal, are run by ordinary people, not the government. The melting-pot, meeting-point role is the point.

49. (B) MRP is the maximum a consumer may be charged, taxes included, so charging above it is not allowed - high demand does not override the printed ceiling. There is no law requiring an above-MRP charge in summer. And charging extra is the opposite of a subsidy, which lowers the price. The MRP caps what the shop may collect, regardless of season.

50. (B) MRP is the maximum a consumer may be charged, not a fixed or minimum price, so selling below it is permitted - the wholesaler is closer to correct. The retailer is wrong that MRP must be charged exactly; selling for less is allowed. It is not both a maximum and minimum. And MRP is a consumer-price ceiling printed by the maker, not a government-only price.

51. (B) Certification marks, clear label details and honest buyer reviews give real evidence of safety and quality, so they are the soundest things to rely on. A flashy advertisement is persuasion, not proof. The lowest price says nothing about quality and may even hint at a problem. And the seller's own promise is self-interested and unverified. Consumer awareness means checking independent signals.

52. (D) The FSSAI mark indicates the food meets recognised safety standards, making it the more trustworthy pick. A lower price does not make an uncertified snack 'better'; cheapness is not proof of safety. Certification marks do convey real safety information. And FSSAI concerns food safety, not energy efficiency - that is the BEE Star label's domain.

53. (C) Energy use is shown by the BEE Star label, food safety by the FSSAI mark, and graded farm produce by AGMARK - matching each to its proper domain. FSSAI is for food, not appliances; AGMARK is for farm produce, not food in that slot; and ISI is for manufactured goods, not energy. The only correct triple is BEE Star, FSSAI, AGMARK.

54. (D) FSSAI certifies food safety (the biscuit), ISI/BIS certifies manufactured goods meeting Indian standards (the iron), and AGMARK grades farm produce (the wheat) - the correct match. The other options shuffle these domains: AGMARK is not for biscuits, ISI/BIS is not for biscuits or wheat in those slots, and BEE Star concerns appliance energy use, not food. Only FSSAI, ISI/BIS, AGMARK fits.

55. (D) AGMARK certifies the grading quality of agricultural produce, NOT the energy efficiency of appliances, so that statement is false and is the odd one out. The FSSAI mark does signal food safety. The ISI/BIS mark does assure manufactured-goods quality. And

the BEE Star label does indicate appliance energy efficiency. Only the AGMARK statement misassigns the mark's domain.

56. (C) An export is selling goods to a buyer in another country (tea sold abroad), and an import is buying goods from another country (crude oil bought from abroad), so the first statement is correct. The labels are not reversed. Selling and buying across borders are not both exports. And neither is a domestic sale, since a domestic sale happens within one country, not across borders.

57. (B) A haat serves a local area, a domestic market spans one country, and exports/imports cross between countries - so local to international runs haat, domestic, cross-country trade. Listing cross-country trade first reverses the order. Putting the national market before the local haat misorders the first two. And the three plainly cover different areas, so an ordering does exist.

58. (D) This fixes both errors: a rock-bottom price can drive the seller to stop selling, so cheapest is not always best; and a website with buyers, sellers and a price is a genuine market. Repeating that the cheapest is best and websites are not markets keeps both mistakes. Claiming only physical shops are markets and price is irrelevant is doubly wrong. And a market certainly needs buyers, sellers and a price - those are its defining ingredients.

59. (A) If buyers chase only the lowest price, prices can fall below sellers' costs; loss-making sellers eventually quit, so fewer goods remain - showing why the cheapest price is not 'best' for the market as a whole. Goods do not get endlessly cheaper without a downside; the downside is vanishing supply. Sellers will not trade at a loss forever; they stop. And the government does not compel below-cost selling.

60. (C) Markets arise because each person can produce only a few things yet needs and wants many; trading lets the wheat grower obtain cloth, tools and salt. There is no government order forcing a fixed shopping list, and people are free to make some things at home - they simply cannot make everything. Tax collection is one government activity but not the reason markets exist; the root cause is the human inability to be self-sufficient.